Lit review notes — "Rooms With a View"

Tomás. Action item from the 12 May meeting. Bullets only, not prose yet. Page cites are to the PDFs in our shared folder. ⋆ = must cite in intro.

1. Chetty, Jackson, Kuchler, Stroebel et al. (2022a), "Social Capital I: Measurement and Associations with Economic Mobility," *Nature* 608 / NBER WP 30313 ⋆

- Data: 21B Facebook friendships; 72.2M users aged 25–44. SES = ML index (area income, education, phone model etc.), ranked nationally within cohort.
- **EC definition**: share of *above-median*-SES friends among *below-median*-SES people, divided by 50%. So EC = 1 means no under-representation. (Nationally 38.8% of low-SES people's friends are high-SES.)
- County corr. EC vs. upward mobility = 0.65 (s.e. 0.04). EC strongest predictor among their social-capital measures; cohesion + civic engagement weakly related.
- The 20% number: *if* low-SES kids grew up in counties with EC like that of the average high-SES kid, incomes would be 20% higher. **This is a descriptive counterfactual. They are explicit it's an association, not causal.** Don't write it as "causes". (Also: 0.5 EC $\leftrightarrow$ 8.2 percentiles of income, cross-county.)
- Homophily slope 0.44 (adults), 0.31 for high-school friends by parental SES.
- Companion paper (Social Capital II, same *Nature* issue): EC = exposure $\times$ (1 – friending bias). Both matter; friending bias varies a lot across schools/colleges. Didn't read in full yet.
- $\rightarrow$ **Us:** Our design manipulates *exposure* within one institution. Can we say anything about friending bias? (Given exposure, do low-SES students befriend high-SES at lower rates?) Could be a nice section.

2. Chetty, Friedman, Saez, Turner, Yagan (2020), "Income Segregation and Intergenerational Mobility Across Colleges in the United States," *QJE* 135(3) ⋆

- Tax records for all college students (1980–82 cohorts in baseline).
- Ivy-Plus: more students from top 1% (14.5%) than bottom half (13.5%). Top-1% kids 77$\times$ more likely to attend Ivy-Plus than bottom-quintile kids.
- Segregation across colleges $\approx$ segregation across neighborhoods. Quote for intro: "efforts to increase interaction across socioeconomic groups may be just as valuable at the college level as they are at the neighborhood level" (p. 2).
- Earnings gaps by parental income much smaller *within* colleges. Mid-tier publics (CUNY, some Cal States) have highest "mobility rates".
- Fun fact: even at Berkeley $>$50% top quintile vs. 8.8% bottom quintile.
- $\rightarrow$ **Us:** Motivates why within-college mixing matters. Lena already uses the 14.5 vs 13.5 fact in intro v1.

3. Chetty, Deming, Friedman (2023, rev. 2025), "Diversifying Society's Leaders? . . . Highly Selective Private Colleges," NBER WP 31492

- Admissions data + tax records. Top-1% kids $>2\times$ as likely to attend Ivy-Plus as middle-class kids w/ same SAT. Driven by legacy, non-academic ratings, athletes.
- **No high-income admissions advantage at flagship publics.** Relevant: our University is a flagship.
- Waitlist design: Ivy-Plus vs. avg flagship $\Rightarrow$ +50% chance of top 1% earnings at 33; $\sim 2\times$ elite grad school; much more likely prestigious firm.
- $\rightarrow$ **Us:** Contrast: they study *which* college; we study environment *within* a college.

4. Chetty, Dobbie, Goldman, Porter, Yang (2024, rev. Nov 2025), "Changing Opportunity: Sociological Mechanisms . . . "

- 57M children, 1978–1992 cohorts. Class gaps grew $\sim$30%; Black–white gaps for low-income kids shrank $\sim$30%.
- Mechanism: outcomes track parental employment rates of peers, esp. **own birth cohort** (vs. adjacent cohorts) $\Rightarrow$ social interaction, not just resources.

- → **Us:** Supports "peers you actually interact with" story. Also a warning: effects might come through *peer environment* generally, not specifically friendship ties.

5. Chetty, Hendren, Jones, Porter (2020), "Race and Economic Opportunity in the United States," *QJE* 135(2)

- Black–white gap persists conditional on parental income; driven by men. Black boys have lower incomes than white boys in 99% of tracts (cond. on parent income).
- Gaps smaller in low-poverty areas w/ low racial bias + high father presence.
- → **Us:** Motivation for race heterogeneity. Careful not to over-interpret subgroup splits.

6. Jácome, Kuziemko, Naidu (2021), "Mobility for All," NBER WP 29289

- Harmonized surveys, 1910s–1970s cohorts, incl. women + non-whites. Mobility rose 1910s→1940s, about half from racial convergence. Excluding Black Americans (esp. women) overstates mobility.
- → **Us:** Background only; maybe one sentence. Not sure we need it.

7. Sacerdote (2001), "Peer Effects with Random Assignment: Results for Dartmouth Roommates," *QJE* 116(2) ⋆

- Random roommates ⇒ effects on GPA and on joining social groups (fraternities).
- → **Us:** Canonical design cite. (Also in Lena's intro already.)

8. Marmaros & Sacerdote (2006), "How Do Friendships Form?" *QJE* 121(1) ⋆

- Email data at Dartmouth. Geographic proximity (incl. same dorm) and race are huge predictors of who interacts.
- → **Us:** Double-edged: supports that dorms create ties, BUT also means any co-location measure will pick up proximity mechanically. Our co-swipe ties = proximity by construction? Need to think about this.

9. Michelman, Price, Zimmerman (2022), "Old Boys' Clubs and Upward Mobility," *QJE* 137(2) ⋆

- Harvard 1920s–30s; quasi-random room/peer variation. High-status peer exposure raised elite club membership & top careers for **private-school** students. **No comparable gains for public-school students.**
- → **Us:** Cuts *against* our story (disadvantaged kids didn't benefit). We must engage with this, not just cite it. (Answers Lena's TK in intro.)

10. Carrell, Sacerdote, West (2013), "From Natural Variation to Optimal Policy?" *Econometrica* 81(3)

- USAFA: used peer-effect estimates to *engineer* squadrons to help low-ability cadets. It backfired: students re-sorted into homogeneous subgroups inside squadrons.
- → **Us:** Direct warning for our "SES-balanced housing" policy paragraph. Should be in intro if we keep the policy pitch.

Still to read / not covered: Garlick (2018, AEJ Applied; residential tracking vs. random at UCT); Corno, La Ferrara & Burns (2022, AER; interracial roommates in South Africa); Boisjoly et al. (2006, AER); Mayer & Puller (2008, JPubE). Job-referral theory: Calvó-Armengol & Jackson (2004). *Nothing yet on methods (co-location networks, attrition, etc.) — is that my job or Hana's?*